6.6 Mobile Gaming: A Fad?

A whitepaper from ericsson.com.au states that youth, entertainment and mobile phones make a powerful brew; that the evidence from stellar mobile Internet player iMode in Japan supports this. iMode boasts 23 million subscribers, 46 per cent of whom are 15 to 24 years old. Of interest is that 52 per cent of iMode revenue comes from mobile entertainment.

Many analysts see a bright future for mobile games flowing from advances in networks (GPRS, EDGE, 3G), application environments (WAP / CHTML) and developments in devices and operating systems. But equally important are challenges in the traditional electronic games industry, which provide a fertile environment in which a mobile games industry will flourish.

The games industry includes giant platform suppliers such as Microsoft, Nintendo and Sony; games publishers, developers and platform suppliers.

There are clearly defined main game forms within the industry such as:

- Action adventure—e.g. Tomb Raider
- Driving / flying simulator—e.g. South Park Rally
- Role playing—e.g. Legend of Zelda
- Edutainment—e.g. Where in the world is Carmen San Diego; and
- First person shooter e.g. Doom, Quake, Duke Nukem, Metal gear solid.

Game publishers face a very challenging commercial environment. Hostage to a few proprietary game platforms, they pay license fees to develop a game to a given technology. Within perhaps six weeks of their game reaching the shops the game is cracked and pirated. Industry insiders claim that rates of piracy of games in the U.S. are 18-20 per cent, in Europe 25-30 per cent, and in Asia 85-90 per cent.

Cash flow for game publishers is particularly problematic. Their game investment costs (development and licensing) are up